Atchison

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DYNAMIC ETF Portfolios – Middle East Conflict

Positioning for Geopolitical Volatility and Energy Risks

Recent escalation in the Middle East has increased geopolitical uncertainty and reintroduced energy supply risk into market pricing. Investors are assessing whether higher oil prices could reignite inflation, slow growth, or both.

Given the current situation we have taken this opportunity to outline how the **Atchison Dynamic ETF portfolios** are positioned, and why the architecture of the portfolios is structured to navigate through range of outcomes.

These portfolios employ both shorter-term Tactical Asset Allocation (TAA) adjustments on top of the longer-term Strategic Asset Allocation (SAA). Compared to our peers, the longer-term SAA already incorporates a structurally higher allocation to asset classes such as Real Assets and Alternatives which are deemed uncorrelated with traditional shares and fixed interest asset classes, than many traditional peer portfolios.

Structural Positioning: Built for Regime Uncertainty

At the SAA level, the Atchison Dynamic ETF portfolios include:

- Meaningful exposure to global infrastructure
- Structural allocation to energy stocks
- Dedicated allocation to gold
- Specific exposure to alternatives
- High-quality fixed income
- Active currency hedging

The above listed allocations reflect our long-term view that the global economy is operating in a more fragmented, inflation-sensitive and geopolitically complex regime than the pre-pandemic era.

The recent Iran/US/Isreal escalation does not change the longer-term thesis. But reinforces it.

Direct Middle East Exposure

Our recent analysis concludes that the Atchison Dynamic ETF portfolios have very limited **direct exposure** to Middle East companies. For example, tabled below is the International Equity sleeve's exposure by country to Middle East listed companies.

	Estimated % of Dynamic International Equity Allocation
Saudi	0.016%
Israel	0.014%
UAE	0.009%
Qatar	0.004%
Kuwait	0.004%
Iran	None

It should also be noted that zero emerging market debt is currently held.

However, it is noted that the Atchison Dynamic ETF portfolios can take advantage via **indirect exposure** to the Middle East region. Scenario analysis provided below speaks to the likely flow on impacts of the regional conflict.

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Energy and Infrastructure: Structural Allocations, Not Tactical Trades

Energy markets remain structurally tight. Supply growth is capital intensive and politically constrained. Even modest disruption to shipping lanes or sanctions enforcement can materially affect pricing.

Atchison Dynamic ETF portfolios have exposure to global energy companies via ETFs, that provide:

- Participation to higher commodity prices
- Exposure to disciplined capital allocation
- LNG and integrated producer diversification
- A natural hedge against supply-driven inflation shocks

Atchison Dynamic ETF portfolios have exposure to Infrastructure via global listed infrastructure ETFs, providing:

- Regulated or contracted revenue streams
- Inflation-linked pricing
- Essential service resilience
- Long-duration structural growth drivers

Electrification, AI-driven electricity demand and energy security reprioritisation continue to support long-term capital expenditure in transmission, grid modernisation and power assets.

The above exposures are employed strategically and are not dependent on short-term forecasting.

Gold and Alternatives: Explicit Diversifiers

Gold remains a structural allocation across Atchison Dynamic ETF portfolios. Gold historically performs well during:

- Geopolitical escalation
- Currency volatility
- Falling real yields
- Systemic stress

While tactical rebalancing may occur after significant appreciation, the Atchison Dynamic ETF portfolios maintain a longer-term strategic allocation to Gold.

Beyond Gold, the Atchison Dynamic ETF portfolios also invest in other alternative assets to provide diversification. For example:

- Absolute return exposures
- Senior secured credit
- Currency strategies
- Select thematic exposures

The above are included to reduce reliance on traditional equity-beta during volatility spikes.

Fixed Income and Currency: Balanced Risk Management

A potential outcome from the current Middle East scenario is the impact on fixed interest and debt markets. Supply shortages bring inflation which brings with it higher interest rates and falling fixed interest bond prices. To combat falling bond prices the Atchison Dynamic ETF portfolios allocation to fixed interest has been tactically moved to a neutral duration position (to reduce the negative impact on longer dated bond prices). in favour of floating rate securities.

Floating rate exposure has been moderated, with a preference for Australian exposures where domestic monetary policy remains comparatively tighter than offshore markets. For Australian investors, this creates a relative carry advantage, as cash rates are expected to remain structurally higher than those in the US and parts of Europe. In contrast, easing cycles offshore are likely to reduce coupon reset benefits in international floating rate securities, making domestic floating rate allocations more attractive on a risk-adjusted basis.

The Atchison Dynamic ETF portfolios maintain their respective allocation to high-quality sovereign and investment grade bonds as a core allocation. In a sharp growth slowdown, these exposures provide portfolio ballast.

Currency hedging remains overweight our neutral position, reflecting Australia's relative policy positioning and the risk that unhedged foreign currency exposure could detract from returns.

Forward Scenario Framework

Rather than predicting outcomes, Atchison regularly assess how portfolios are expected to behave across plausible scenarios.

Scenario 1: Contained Escalation (Base Case)

- Oil prices elevated but manageable
- No sustained disruption to supply
- Growth moderates but remains positive

Expected portfolio behaviour:

- Energy contributes positively
- Infrastructure remains stable
- Gold firm
- Diversified equity exposure absorbs volatility

Portfolios remain balanced and positioned for continued real returns.

Scenario 2: Measurable Supply Disruption

- Temporary shipping disruption
- Sharp rise in oil prices
- Inflation expectations rise

Market reaction may include equity drawdowns and volatility spikes.

Portfolio dynamics:

- Energy exposure acts as supply shock hedge
- Gold provides geopolitical diversification
- Infrastructure outperforms cyclical equities
- Alternatives dampen volatility
- Bonds may initially struggle but stabilise if growth concerns rise

Here, structural allocations begin to demonstrate their purpose.

Scenario 3: Severe Escalation and Prolonged Disruption
A lower probability but higher impact scenario:

- Sustained oil supply interruption
- Significant inflation shock
- Global growth slowdown

While no portfolio can eliminate drawdowns, the structural design of our SAA is intended for precisely this type of regime stress.

In the event the Iran conflict materially worsens, Atchison expect:

- High structural Real Assets exposure provides relative inflation protection.
- Alternatives overweight enhances volatility diversification.
- Infrastructure tilt provides energy security exposure.
- Energy allocation acts as a supply shock hedge.
- Gold allocation functions as a geopolitical hedge.

The TAA does not undermine this design. It simply moderates tactical excess where valuations became stretched.

Scenario 4: De-escalation

- Oil retraces
- Risk assets recover
- Volatility compresses

In this case:

- Growth allocations (assets) participate
- Infrastructure continues benefiting from structural CAPEX
- Energy remains supported by underinvestment

- Defensive assets act as ballast

Portfolios remain positioned without requiring reactive repositioning.

Current Considerations

Rather than attempting to predict geopolitical outcomes, Atchison continuously assess how portfolio positioning aligns with evolving market conditions, valuations and risk premia.

One area currently under review is currency positioning. During 2025 we increased the level of currency hedging within international equities. While this helped reduce currency-driven volatility, the Australian dollar has historically weakened during global risk-off periods. In these environments, unhedged international exposures can provide an additional source of portfolio ballast for Australian investors. Atchison is therefore assessing whether a reduction in USD hedging may be appropriate over time to restore greater downside diversification benefits.

Within defensive allocations Atchison continue to maintain a modest credit quality profile in floating rate exposures. These positions capture attractive income while policy rates remain elevated but also serve as a liquid reserve of capital that can be redeployed into equities should market volatility create more compelling entry points.

Final Perspective – Dynamic Series

The Dynamic portfolios express our tactical views efficiently through liquid, transparent ETF building blocks.

They are designed to:

- Capture global growth
- Embed inflation-aware real assets
- Include explicit geopolitical hedges
- Maintain liquidity and flexibility

Geopolitical events are unpredictable. Portfolio construction should not be.

The SAA provides the durable architecture. The TAA adjusts at the margin based on shorter term expectations.

Atchison remain disciplined and vigilant as conditions evolve.